

13-2 Production and Costs

Firms incur costs when they buy inputs to produce the goods and services that they plan to sell. In this section, we examine the link between a firm's production process and its total cost. Once again, we consider Chloe's Cookie Factory.

In the analysis that follows, we make a simplifying assumption: We assume that the size of Chloe's factory is fixed and that Chloe can vary the quantity of cookies produced only by changing the number of workers she employs. This assumption is realistic in the short run but not in the long run. That is, Chloe cannot build a larger factory overnight, but she could do so over the next year or two. This analysis, therefore, describes the production decisions that Chloe faces in the short run. We examine the relationship between costs and time horizon more fully later in the chapter.